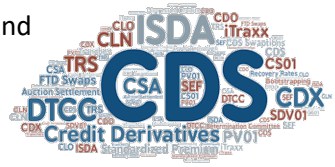
Credit Derivatives Intensive

Two-Day Program

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Credit Derivatives Intensive

Seminar Objectives



The credit derivatives market is one of the largest derivatives markets in the world and is used as the benchmark for measuring the credit risk of companies and governments throughout the world. More than that, the credit derivatives market provides an effective means of exploiting market views or creating inventive hedges.

Over the years credit derivatives have experienced many changes in their evolution, including the transition to standardized premiums, the adoption of the ISDA Standard Model for CDS pricing, the growth of CDS Swaptions, and the increasing importance of clearing houses and netting.

This intensive two-day seminar brings you right up to date on the latest developments, and its objectives are to:

- Explain the various credit derivatives **structures** and **products**
- Examine in detail how **Credit Default Swaps** (CDS) work
- Explore market practices including **standardized premiums**, **determination committees**, and **auction settlement**
- Provide participants with a **clear understanding** of how credit derivatives can be used **in practice** to manage and hedge credit risk for Goldman Sachs' clients
- Show how credit derivatives **add value** for buyers and sellers
- Introduce some of the newest products like **recovery locks and credit default swaptions**
- Explore **credit indices** and the range of products offered
- Examine **tranched credit products** and the importance of **correlation**
- Provide an intuitive insight into the way in which these credit derivatives are **priced**
- Discuss some of the latest **regulatory changes**

Program Overview

The first day focuses on Credit Default Swaps (CDS), which are the most important credit derivative product, while the second day explores index products like CDX and iTraxx, as well as more advanced topics including credit derivative pricing, as well as portfolio and correlation products like FtD swaps and collateralized products. At the end of the seminar we review the regulatory and operational changes that have been introduced because of the Dodd Frank Act and similar legislation in other parts of the world.

We encourage interaction during the program to maximise engagement, and the course incorporates numerous hands-on workshops and simulation to ensure that participants can experience at first hand the practical implications of the topics covered.

Goldman Sachs

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Seminar Content

Day One

Program Introduction (08:30 – 08:45)

Overview of Credit Derivatives (08:45 – 09:15)

- Principles of credit derivatives
- Terms and definitions
- Who uses credit derivatives?
- Motivations for using credit derivatives
- Growth of the market and recent trends
- Types of credit derivatives

Credit Default Swaps (09:15 – 09:45)

- Introduction to single-name CDS
- Terms and definitions

Current CDS trading example (09:45 – 10:00)

break

Credit Default Swaps (continued) (10:15 – 11:15)

- Credit events
- Settlement methods
- Determination Committees
- Market and trading conventions
- Standardized premiums / recovery rates

Current CDS trading example revisited (11:15 – 11:30)

Credit Default Swaps (continued) (11:30 – 12:15)

- Sovereign vs. other reference entities
- Distressed credits and points up-front
- Recovery locks

lunch

Credit Default Swaps (continued) (13:15 – 13:45)

- Central clearing – ICE Clear Credit
- Swap Execution Facilities (SEFs)
- ISDA 2014 Credit Derivatives Definitions
- Auction settlement – how it works

Using Credit Default Swaps (13:45 – 14:15)

- Who uses CDS?
- CDS applications…
- Managing credit risk exposure
- Hedging default risk
- Providing market access
- Directional trading
- Exploiting relative value

Using credit default swaps (14:15 – 14:45)

break

Using Credit Default Swaps (continued) (15:00 – 15:30)

- Arbitrage
- Curve trades

CDS application ideas (15:30 – 16:45)

Querifi knowledge retention quiz (16:45 – 17:00)

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Day Two

Pricing Credit Default Swaps (08:30 – 09:30)

- An "intuitive" approach to CD pricing
- Credit risk and credit spreads
- Term structure of credit spreads
- Calculating CDS premiums

Obtaining CDS premiums from default probabilities (09:30 – 09:45)

break

Pricing Credit Default Swaps (continued) (10:00 – 10:15)

- Calculating up-front payments with standardized premiums

Calculating up-front payments (10:15 – 10:30)

Pricing Credit Default Swaps (continued) (10:30 – 10:50)

- The ISDA CDS Standard Model
- Bootstrapping default probabilities

Bootstrapping default probabilities (10:50 – 11:00)

Pricing Credit Default Swaps (continued) (11:00 – 11:15)

- Implied default and survival probabilities
- Cumulative default rates
- Marking-to-market
- The SDV01 and PV01
- The Bloomberg CDSW screen

CDS Simulation (11:15 – 12:00)

lunch

Index Products (13:00 – 13:30)

- The CDX and iTraxx indices
- Geographic and sector coverage
- Index construction
- Who uses indices?
- Index trading applications
- Index trading statistics
- Other indices e.g. SovX, LCDX, MCDX

Index trading example (13:30 – 13:45)

Portfolio CDS (13:45 – 14:15)

- Portfolio / basket credit derivatives
- First-to-default swaps
- 2nd-to-default and other variations

Pricing a first-to-default CDS (14:15 – 14:30)

Collateralised Products (14:30 – 15:00)

- Collateralized Debt Obligations (CDOs)
- Senior, mezzanine, and equity pieces
- The "waterfall" of cash flows
- The role of the SPE

break

Designing a CLO structure (15:15 – 15:45)

Tranched CDX Trading (15:45 – 16:15)

- CDX and iTraxx tranches
- Risk / return characteristics of each tranche
- Characteristics of equity & mezzanine pieces
- The impact of correlation
- The concept of delta

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Using a tranched structure (16:15 – 16:30)

Credit Default Swaptions (16:30 – 16:45)

- Definitions and terminology
- Size of market
- Payers vs. receivers swaptions
- Options on indexes vs. options on single names
- Comparison with other options
- What happens if a credit event occurs…?
- Knockout vs. non-knockout variations
- Vanilla vs. binary payouts
- Cancellable and extendable CDS contracts

Regulatory Changes (16:45 – 17:00)

- The Dodd Frank Act (DFA), Title VII
- MiFID II
- Product eligibility
- Counterparty eligibility
- Trade reporting
- SEFs and mandatory clearing

Querifi knowledge retention quiz (17:00 – 17:15)

Reference Materials

CDS – Reference Material

- ISDA and CSA agreements
- Restructuring: XR/NR, MR, MM, CR/FR
- Reference and other obligations
- Backstop dates
- Successor events

Other Single-Name Products

- Asset swaps
- Total return swaps
- Credit spread products
- Credit-linked notes (CLNs)

ACF Consultants Ltd specialise in training and development for the financial markets and have an established reputation for providing first-rate training and consultancy to banks and other financial institutions. For further information about ACF, please contact:

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